MSME Champions and Zero Defect Zero Effect (ZED) Certification Guidelines

Issuing Authority: Ministry of Micro, Small and Medium Enterprises, Govt. of India

1. Scheme Background and Champions Portal

The MyMSME and MSME Champions initiative (Creation and Harmonious Application of Modern Processes for Increasing the Output and National Strength) serves as a unified digital ecosystem for grievance redressal, handholding, and scheme execution. The initiative unifies the MSME Sustainable (ZED) Certification Scheme, MSME Competitive (Lean) Scheme, and MSME Innovative Scheme.

2. MSME Sustainable (ZED) Certification Scheme

The ZED Scheme promotes zero defect manufacturing with zero adverse environmental impact. Participating MSMEs are evaluated across three certification tiers: Bronze, Silver, and Gold. The Government of India provides substantial financial subsidies for assessment, certification, and handholding:

• Micro Enterprises: 80% subsidy on certification fees.

• Small Enterprises: 60% subsidy on certification fees.

• Medium Enterprises: 50% subsidy on certification fees.

An additional 10% subsidy is provided for Women, SC/ST owned enterprises, and units in NER, Himalayan, and aspirational districts.

3. Financial Assistance for Business Upgradation

Beyond certification fee subsidies, ZED-certified units receive financial support for technological and quality upgradation:

• Up to Rs. 5 Lakhs for handholding and consultancy support to achieve higher certification levels.

• Financial assistance up to Rs. 5 Lakhs (or actual cost) for zero-effect environmental technology upgrades.

• Concessional processing fees and interest rate rebates (0.25% to 0.75%) from partner public sector banks for ZED Bronze/Silver/Gold certified MSMEs.

4. MSME Innovative Scheme (Incubation, Design, and IPR)

The MSME Innovative sub-scheme supports R&D; and commercialization:

• Incubation Support: Financial grant up to Rs. 15 Lakhs per idea to Host Institutes (HI) for developing prototypes.

• Design Assistance: Grant of up to Rs. 40 Lakhs for approved design projects by professional design agencies, with 75% subsidized by the government for Micro and 60% for Small/Medium.

• Intellectual Property Rights (IPR): Reimbursement of patent filing fees up to Rs. 1 Lakh for domestic patents and up to Rs. 5 Lakhs for international patents; up to Rs. 10,000 for Trademarks; and up to Rs. 2 Lakhs for Geographical Indications (GI).

5. Online Application and Handholding

All applications, self-assessments, and tracking are conducted electronically through the Champions Portal (champions.gov.in) and MyMSME portal (my.msme.gov.in). Zero manual paperwork is required, and verification occurs through direct integration with Udyam Registration.